



RESEARCH & INSIGHTS HUB

Dethroning the Dollar

Bitcoin's Rising Role in a De-dollarizing World

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Global capital flows are currently being reshaped by increasing trade protectionism, posing a challenge to the USD's long-standing position as reserve currency of the world. As the US confronts the implications of deteriorating twin deficits—fiscal and trade—and an unsustainable debt trajectory, we think investor confidence in the USD's safe haven status may continue to be eroded. This raises the serious prospect of a reversal in dollar inflows and portfolio realignments by large institutions on a global scale, potentially leading to significant USD selling pressure over the long run.

Notably, we believe that the events of recent months have only intensified a decade-long trend of waning dominance for the dollar. What comes next could represent an inflection point for bitcoin specifically and crypto more broadly. That is, the current shift in the USD regime has made store-of-value assets like gold and bitcoin stand out as credible alternatives in the evolving monetary landscape. Gold's reclassification from a Tier 3 to a Tier 1 asset under Basel III rules is one example of that. Bitcoin, in particular, offers a distinct value proposition as a sovereign-neutral asset immune to sanctions or capital controls, positioning itself as a viable supranational unit of account for international trade.

We believe that reduced USD demand might eventually lead more countries to diversify their international reserves, potentially adding \$1.2T to bitcoin's market cap, based on our conservative assumptions. That may be part of why we are witnessing increasing interest in strategic bitcoin reserves among nation-states, underscoring the asset's rising geopolitical significance.

For more details, see our [full report](#).

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